

3.1 The operation of markets and market failure

This section of the specification is primarily about microeconomics. Students will be required to acquire knowledge and understanding of a selection of microeconomic models and to apply these to current problems and issues. Microeconomic models such as demand and supply, the operation of the price mechanism and causes of market failure are central to this part of the specification. Students should be provided with opportunities to use these models to explore current economic behaviour. When applying and evaluating all the microeconomic models in the specification, such as supply and demand theory and production possibility curves, students should be critically aware of the assumptions upon which these models are based and their limitations when they are used to make sense of real world phenomena. Students should be able to apply their knowledge and skills to a wide variety of situations and to different markets and examples of market failure, including environmental market failures. They should appreciate that economic decisions relating to individual markets may be affected by developments in the macroeconomy.